

Ring in your parents

Oh, to buy in Bondi, Brighton, Nedlands or Netherby first up. Plenty of first home buyers long to purchase in the suburb they grew up in. Depending on which financial expert you ask, it is more, less, or equally hard to buy a home today than it was for our parents, and we'll go around and around like the water down the drain in your last dodgy rental if we contribute too many paragraphs to this debate.

While my folks are the gatekeepers of my savings, there are two other ways to harness the financial help of baby boomers:

Guarantor loans – the Bank of Mum and Dad

What is incontestable is that we'll never make money through property in the way our parents did. Reset your thinking from purchasing to accumulate wealth, to acquiring a home to offer shelter and warmth, and the right to own a pet and bang a nail in the wall.

My newly married parents moved in with Mum's folks for two years to save for a deposit. It meant that their make-out sessions were reserved for the front seat of Mum's 1960s Austin-Healey Sprite, and Dad tells an uncomfortable story about her bra being found on the nature strip the next morning.

If you are not keen to move back in with your parents, or the option isn't available to you, explore the possibility of a guarantor loan. From the lender's point of view, it is a safeguard against the risk they take in lending to you. A benefit of the property price boom has been the equity – the additional value – that has been created in our parents' homes.

A guarantor loan uses your parents' property as security and makes them legally responsible for covering the loan if, due to unfortunate circumstances, you cannot make mortgage repayments. The value in your parents' property is a measure of surety that if you fall on hardship or fall behind on the mortgage, the bank will still get its money back. For this reason, and depending on the loan terms you signed, the bank may sell your property and/or your parents' home to recover the debt it is owed.

Financial advisor Will Unkles says:

If Mum and Dad are in a position so that the guaranteeing of your loan does not put them at financial risk, it is a great way to get a